



Time: 5 minutes

Outcome: Analyze expected inflation and supply shocks as Phillips-curve shifters.

Difficulty: Intermediate

Phillips-Curve Expectations

THE CORE IDEA

Expected inflation and supply shocks shift the short-run Phillips curve rather than moving the economy along one curve. Higher expected inflation raises actual inflation at each unemployment rate and shifts the curve upward; lower expectations shift it downward. Adverse supply shocks can also raise inflation at a given unemployment rate. A demand change, by contrast, moves the economy along the current short-run curve while expectations remain fixed.

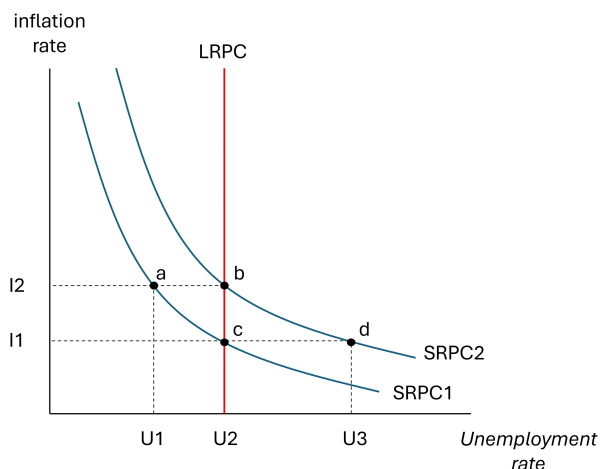
HOW TO RECOGNIZE IT

- A movement along one short-run Phillips curve reflects a change in aggregate demand with expected inflation fixed.
- Higher expected inflation shifts the short-run Phillips curve upward; lower expected inflation shifts it downward.
- An adverse supply shock can shift the curve upward by raising inflation at each unemployment rate.
- Compare inflation at the same unemployment rate to identify a shift rather than a movement along the curve.

WATCH OUT

Do not confuse a curve shift with movement along one curve. At the same unemployment rate, a higher SRPC reflects higher expected inflation or a worse tradeoff.

WORKED EXAMPLE: SHIFTING THE PHILLIPS CURVE



The economy begins at point b on SRPC2 with unemployment U_2 and inflation I_2 . When expected inflation falls, the short-run Phillips curve shifts downward to SRPC1. At the natural unemployment rate U_2 , the economy reaches point c with lower inflation I_1 . Expectations, not a permanent unemployment change, drive the shift.

CHECK YOURSELF

With unemployment held at U_2 , expected inflation falls. Does the economy move along SRPC2 or shift to SRPC1, and what happens to inflation?